KEY PROBLEMS

- Oversupply of tea
- Climate change
- Increasing cost of production
- Dip in exports
- Fall in prices

SOLUTIONS

- Shortening plucking season, encouraging small growers to produce less but better quality tea
- Value-adding to the produce and diversifying the business
- Government subsidies or cash help to the industry
- Encouraging factories to be more MRL compliant
- Ensuring a vibrant and robust auction system



"We need funds from the government for generic promotion of tea in both domestic and international markets"

ANGSHUMAN KANORIA
Chairman, Indian Tea Exporters Association

"We start plucking from March, till December 15 or so. Let us close two weeks early by December 1 to supply less, improve quality"

MOHIT AGARWAL *Tea planter*



The supply from Assam and Bengal constitutes almost 84 per cent of the total tea produced in India. According to ITA, if the price of tea produced in these two states falls, the corresponding tremors are felt in the national average. Sources cite an oversupply of tea in the market, rise in fixed costs—including labour payment—which constitute around 80 per cent of the total cost of producing tea, and climate change as key reasons for the drop in auction prices.

The report suggests that tea production has dropped by 0.8 per cent nationally, from 807.5 million kg (mkg) in 2022 to 801.2 mkg till August 2023. For Darjeeling, the drop has been from 4.9 mkg to 4.2 mkg, an alarming 15 per cent, while for Assam it has dropped from 397.3 mkg to 391.9 mkg, a drop of 1.4 per cent. The drop in production in Darjeeling is steeper because the industry has not yet been able to recover from the financial distress it had to undergo during the 105-day strike called by the Gorkha Janmukti Morcha in 2017, demanding a separate Gorkhaland state. Along with that, climate change due to global warming and the ingress of Nepali tea in the market has led to the dip in productivity. The depressed price situation, says the ITA report, has made it difficult for tea garden managements to "fulfil their financial commitments during the festive season".

If the domestic market is limping, there is no cause for cheer in the export business either. Exports to Iran, which comprise 20 per cent of India's total tea exports, have shown a steady decline since 2019 owing to issues in payment and allotment of currency to Indian traders. Till 2022, exports to Iran had dipped by 32.8 mkg. Experts claim that demand in other foreign markets like the US or Germany remains stagnant.

After the pandemic low, Indian tea export figures did start to look up in 2022. Exports recorded a growth of 34 mkg over the preceding year. However, between January and July 2023, exports dipped by 2.6 mkg. While India exported 117.2 mkg of tea in the corresponding period last year, only 114.6 mkg has been sold overseas this year. Anshuman Kanoria, chairman of the Indian Tea Exporters Association (ITEA), says that exports are crucial to maintain the 'demand-supply equilibrium'. He believes that untapped overseas markets can be explored if tea growers ensure stricter compliance with Maximum Residue Levels (MRL) guidelines for using pesticides.

Almost every stakeholder agrees that the mushrooming of unregistered small growers over the past decade or more has led to an oversupply of produce, which, in turn, has disrupted price recovery. Speaking to INDIA TODAY, ITA secretary general Arijit Raha says that the Indian tea market has grown by over 41 per cent, from 966 mkg in 2010 to 1,365 mkg in 2022, largely due to the rise of small growers, who contribute almost 52 per cent of the total production. Sections 12 to 16 of the Tea Act, 1953, which dealt with control over the extent of tea cultivation, were suspended in August 2021, thereby paving the way for unfettered